SOUTH AFRICA'S INFLATION AND INVESTMENT CHALLENGE:

MONETARY POLICY, FISCAL RISKS AND EXTERNAL SUPPLY SHOCKS.

Executive Summary

Key Insights

- Supply shocks dictate the current trajectory of the economy, increasing inflationary risk, highlighting dependencies, and deteriorating the global risk sentiment.
- The growth outlook has receded following the Middle East conflict, with energy price volatility leading inflation momentum.
- SARB policy serves to protect currency value, however, factors such as public debt, and structural constraints should be managed and addressed to ensure that price pressures are not amplified, impeding aggregate economic development.
- South African people are increasingly being pressed to reach deeper into their pockets due to increases in goods and services prices. Public concern is plagued with ominous signals of imminent, more pervasive shocks.

SARB policy adverse distribution and transmission effects could potentially be mitigated through collective participation between treasury, regulators, public institutions and the private sector. Harmonized and strategic action will accelerate structural reforms, lift SA out of the low investment regime, creating employment and protecting households.

Introduction

Geopolitical and economic tensions stemming from the Middle East oil crisis have added their name to the 2026 supply shock register. Classified as a Polycrisis, where supply shocks take the front seat rather than demand pressures, impacting economic development, production, and consumption.

Like every oil price shock, it does not exist in a vacuum. The Middle East conflict is no different. More pronounced are refinery margins, or crack spreads of oil production major players, spilling over into economic activity, with lasting broader-based effects.

From a household disposable income standpoint, refined oil products such as petrol for transport, and heightening El Niño-associated food security risks pose significant threats to its already waning purchasing power. From an production perspective, industrial and manufacturing output is hugely determined by the cost of diesel, with agents choosing maintenance over capital growth.

The South African Reserve Bank (SARB) has a regulatory mandate to preserve ZAR value through inflation targeting when supply shocks hit. Policy aims to mitigate inflation broader second-round effects, rather than control the shock, since inflation can embed itself in wage and inflation expectations.

The SARB Policy rate cumulatively increased by 50 basis points this year, 25 bps in May 2026 and 25 bps in September 2026, an aggressive attempt to absorb global-to-domestic inflation spillovers.

This research brief provides a synthesis of the current global state, risk, supply shock drivers, and how the transmission effects of monetary policy can be better balanced and complemented by fiscal and private sector participation.

An analysis of the movements between Headline inflation (CPI), the SARB policy rate (Repo rate), and the domestic currency (ZAR/USD) for the period 2015 -2026, provides key inflation insights and its response to policy decisions, and exchange rate shifts during inflationary and disinflationary periods.

The Inflation Environment 2015 -2026

1. Global Disinflationary Period
January 2016 - April 2016

Headline CPI, Repo Rate and ZAR/USD During this global deflationary episode, the first 4 months of 2016 were characterized by the Chinese economic slowdown and plummeting commodity prices. South Africa's currency relative to the US Dollar appreciated in value, while over this 4-month period the SARB policy rate increased sharply by 75 basis points. South Africa's headline CPI high of 7.10% stood out over the 4-month period. The domestic environment was infamously plagued by political instability (Nenegate) and agricultural shocks caused by El-Nino.

2. South Africa Disinflationary June 2020

Headline CPI, Repo Rate and ZAR/USD
Headline CPI % of 1.93% at the end of the examined period. The SARB policy rate was reduced from 6.25% to 3.75% in an emergency policy easing reaction by the SARB. Subsequently, South African government Treasury bonds were reduced to junk status on the Lockdown announcement date of 27 March 2020.

The ZAR/USD performance over this period showed currency depreciation, indicating its sensitivity to political and country confidence in fiscal responsibility and navigating uncertain terrain.

3. High Global Stagflationary Risk Episode: Russia - Ukraine War April 2022 - July 2022

Headline CPI, Repo Rate, and ZAR/USD Characterized by soaring inflation and stagnant global economic growth, short-term South African productive and consumption capacity was constrained due to unsustainably rising inflation, reaching almost 8% in July 2022 - a 13-year inflation high. The Repo rate over the stated period responded to this shock by increasing 125 basis points over this short stint, attempting to circumvent inflation persistence.

Inflation momentum was fierce and did warrant an aggressive, immediate response.

The ZAR/USD devalued, but due to South Africa's net export status of precious metals and coal, and the favourable commodity price surge, .

4. South Africa Easing Inflation and JSE Outperformance: March 2025 - December 2025

Headline CPI, Repo Rate, ZAR/USD Global political and economic climate proved rickety; Donald Trump assumed office once again in January 2025 and announced the infamous Liberation Day Tariffs in April 2025. Further, the Magnificent Tech 7 and its market constituents experienced a market correction.

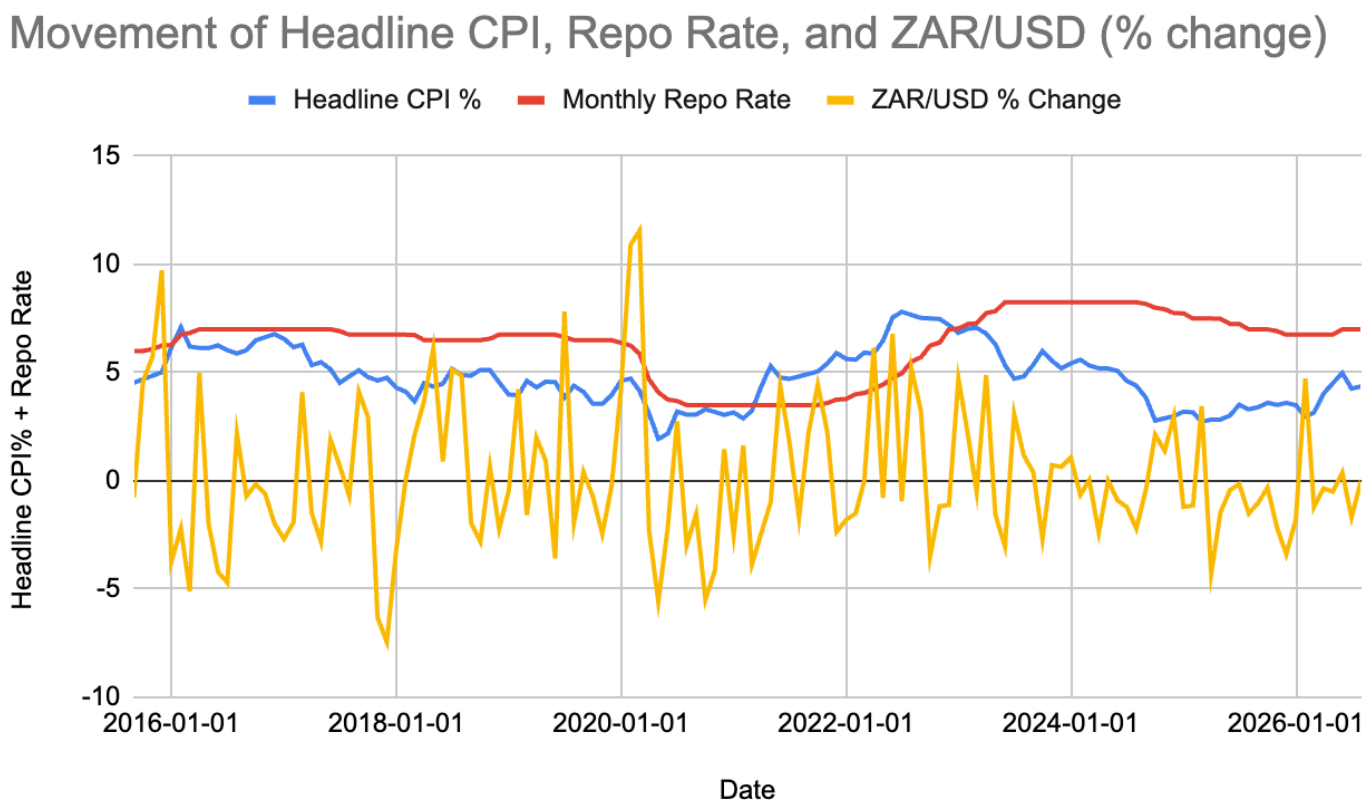
Domestically, headline CPI rose at a decreasing pace, and the SARB Policy rate was reduced by 75 basis points over the period. South Africa's economy did benefit from currency and investor resilience supported by the outperformance of the JSE, despite a reported weakening economic outlook.

5. Middle East Oil Price Shock, Global Unsustainable Fiscal Debt Burdens Et al March 2026 -

Headline CPI, Repo Rate, ZAR/USD Since 2020, there have been 2 energy crises that pervaded the global economy One being purely market-driven, the other a matter of conflict between an established dual alliance (US-Israel) and a rising power (Iran), deepening instability in the Persian Gulf.

Seasoned practitioners have stated that the economy was better supported to endure the inflationary pressures in 2020, with the absence of those supportive conditions now, in 2026.

Headline CPI sharply increased since the end of February 2026; the SARB policy rate remained unchanged in March, and increased by 25 basis points in May. The next rate hike occurred on 23 September 2026, now at 7.25%. The ZAR/USD experienced depreciation over this period, indicating equity and sector underperformance.



Data Source: BER

Macroeconomic Environment and Transmission Effects

Polycrisis: Supply Shocks Feeding on Each Other

The term Polycrisis regained its global popularity in the 21st century, led by economic historian Adam Tooze, becoming the word du jour, or la décennie. Polycrisis is defined as multiple distinct global systems (such as economic, geopolitical, ecological, and social) becoming causally entangled, so that their interactive and compounding effects are far more dangerous and destructive than the sum of their individual parts.

> “Polycrisis as multiple distinct global systems (such as economic, geopolitical, ecological, and social) becoming causally entangled, so that their interactive and compounding effects are far more dangerous and destructive than the sum of their individual parts. ”
> — Adam Tooze, Economic Historian

In his September 2026 MISTRA keynote, Governor Kganyago, addressing South Africa’s position against the unsteady geopolitical landscape, introduced a more illustrative description of the current state of the global economy, likening it to the terrifying August 2026 Nepal climate disaster, in which a 65-foot tall wave of black mud, boulders and shattered ice obliterated the Gyirong Port border crossing. It was followed by another disaster in October.

A ‘Cascade of Crises’ he opined, where each shock feeds greedily on each other, creating a reinforcing cycle.

He touched on 5 pressing themes including:

- The weakening global resolve to tackle climate risk, and its associated agricultural and inflationary risks to the macroeconomy.
- AI posing a cybersecurity threat as a potential cause for another impending financial crisis.
- Fragmented agreement on the underlying causes of global imbalances, specifically the embittered China-France trade imbalance, power clashes.
- Unsustainable debt levels, both fiscal and private debt in major economies, largely driven by AI hyperscalers, consequentially pushing long-term interest rates to multi-decade highs.
- And due to increasing government interest burdens triggering of fiscal dominance, a plausible threat to Central bank independence and commitment to its sole jurisdiction of price stability.

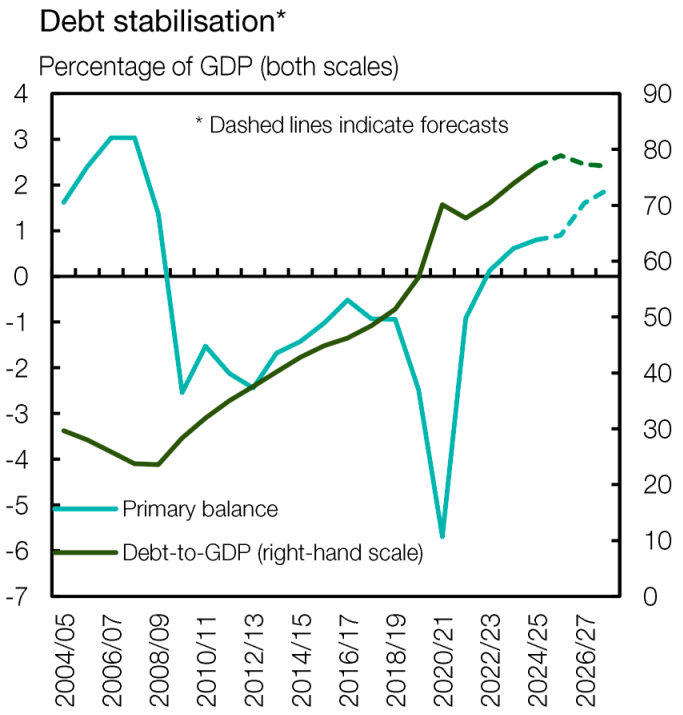
His counsel in navigating this unprecedented terrain as an emerging market was less despairing, and more a strong transformational signal of the importance of understanding the order of magnitude of these changes, correctly identifying inward strategic and economic strengths, amidst these multiplicity of shocks and capitalizing on them.

Global Debt Unsustainability and Contagion Risk

Disproportionate Debt-to-GDP ratios are becoming increasingly worrying, for major and developing economies. Economies like France are further reinforcing its position on the unsustainable fiscal path by deepening budget deficits. Some argue that the administration is too liberal, specifically spotlighting its generous pension plan and young retirement age.

France is no underdog, but the odds are not in its favour. Increasing CDS prices and treasury bond yields exhibit waning confidence in the government's ability to make good on its debt, with a high probability of bailouts on the horizon. Matched with power imbalances and instability could intensify chaos.

South Africa’s fiscal spending, then, requires discretion in the trade-off decisions surrounding consolidation and the commitment to identify, capitalize on present strengths, creating employment and conducive economic growth conditions.



Source: National Treasury

The Sovereign Risk Premium and Long-run Borrowing Costs

Aswath Damodaran, NYU Professor of Finance, defines a country's risk premium drivers as a 4 factor matrix. The political structure, prevalence of corruption, the extent of violence, and the strength of its legal system. Standard Bank CEO, Sim Tshabalala, partially supported this at the 2026 Semofor World Economy Summit, highlighting the direct correlation between GDP growth and the rule of law.

National Treasury has reiterated to prudence by running a primary surplus, introducing a principles-based approach: The fiscal anchor. Prudence can influence and lower long-term debt servicing and borrowing costs.

Bond yields and credit default swap prices are reflecting improved confidence in both South Africa's monetary and fiscal path, despite upward yield pressures from advanced economies.

The South African Emerging Market Bonds Index Plus (SA EMBI +) has seen 13-year lows, and has secured two credit-rating upgrades in under a year, with a positive outlook for another rating increase.

Institutional Decay and Private Sector Cooperation

Governor Lesetja Kganyago's keynote address, titled "From fragility to resilience: An emerging market journey," given in early August 2026, he classifies the cracks of fiscal vulnerabilities as growth inhibitors. Growth and resilience are distinct and separate line items on the economic agenda, but state capture, or the destruction of the institution right down to the municipal and local level, has exacerbated private sector conditions for sustainable growth and development.

Institutions must keep the main thing the main thing. To operate for the public benefit in its entirety, to provide critical and basic goods from the highest to the marginalized.

Harmony between fiscal and monetary authority, and its distinct mandates should not be muddied. Both are equally important and require dual commitment to calculatedly balance and manage competing objectives, accurately assess consequential trade-offs, incentives, and existing structures, creating economic and societal conditions for the graduate, labourer, entrepreneur, and executive to thrive.

Global Currency Carry Trades. A Shift Toward Energy Sovereign Currencies?

The US-Israel conflict with Iran has caused a dramatic shift in global currency carry trades.

International investor macro drivers are shifting, evidenced by how currency risk is being priced. Energy-dependent economies in terms of imports, like Japan, are experiencing severe currency depreciation, as oil-price shocks increase vulnerabilities through currency sensitivity. A nation's trade balance is largely dictated by its exposure and sensitivity to currency risk of goods and services that they are predominantly dependent on.

International currency trade volumes indicate a shift away from the Yen, rather using the Swiss Franc and Euro to purchase high-yield emerging market assets.

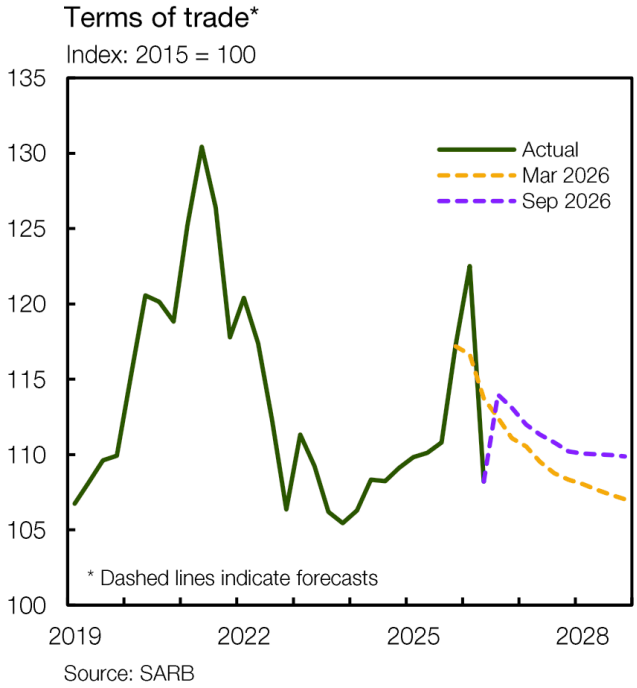
The ZAR has in itself embedded a currency variance risk premium and structural fiscal risks, increasing its sensitivity to global liquidity shocks. High capital inflows are being directed toward high-yielding, energy-exporting nations, like the USD, CAD and NOK. With the SARB's influence in nominal interest spreads widening the yield premium, the stability of capital inflows, foreign investor bonds and equity transactional activities, and the long-term capital commitments to South Africa's production market and growth, bolstering institutional confidence.
This also speaks to South Africa's current energy mix, and dependencies as determining foreign capital inflows attraction through reduced currency risk and better yields.

> **"**Energy availability, efficiency, and transition dynamics will increasingly determine economic competitiveness and geopolitical leverage, potentially reshaping global power structures even without formal monetary recognition.**"**
> — Peter O. Anari

Current Account Deficit: Narrowing Trade Surplus and Primary Income Deficit

As a share of GDP, the current account swung from a +2.3% to a -2.6%, announced 10 September 2026.
A sustained current account deficit could put external downward pressure on the rand and the valuation of foreign reserves.

A weakening rand could indicate a potential barrier for resisting imported inflation and anchoring expectations. Pressure on import price indices may also contribute to producing a negative imbalance on the terms of trade.
Consequently, transmission effects to financial markets are also conditional on whether we are adequately economically prepared.



Complementary Fiscal and Structural Policy: Interactions And Recommendations

Global Debt Unsustainability and Contagion, Recession to Contain Inflation

Fiscal discipline and the responsible allocation of the Fiscus is essential to mitigating broader second-round inflationary pressures. Public stakeholders have stated concern and are bracing for the next supply shock, worried whether we are adequately economically prepared.

Evidence of commitment to stabilizing debt and lowering debt servicing costs, from the fiscal powers, are required to quell these concerns and improve institutional confidence and move beyond economic resilience toward the individual welfare of each South African citizen.

The institution's resolve and constitutional integrity to maintain solvency and liquidity must be reinforced, since failure to preserve mandates will have explosive consequences.

We do not want to be a chronicled cautionary tale in the annals of economic disasters, so maybe it bears repeating.

Key Takeaway: Monetary policy contains second-round effects and not oil supply or contagion, perhaps requiring temporary and targeted fiscal support.

Fiscal Dominance and Long-run Borrowing Costs

Should debt deterioration accelerate, and the risk for subsequent government financing materialize triggering the deprioritization of the Central Banks mandate legal, institutional and operational guardrails must be upheld.
Property rights must be considered as unassailable legal standing by a country's constitution. Absolute commitment to climate goals must be matched with deliberate financing allocation decisions to enhance investor sentiment and attract long-term capital.

Key Takeaway: Fiscal credibility proves a significant determinant in long-run borrowing costs, treasury yields, and effects of monetary transmission.

The Country Risk Premium as a Function of Property Rights and Climate Priorities

Professor Damodaran makes a compelling argument by supposing two more material risk premium drivers: strong property rights and climate priorities.

The two opposing views to the property rights debate, include the implementation of transformative redress practices, and devotion to economic stability and institutional integrity.

Uprooting free market dynamics and replacing them with unpredictable government mandates risks capital flight, discourages investment and weakens the economic climate needed to attract and sustain growth opportunities.

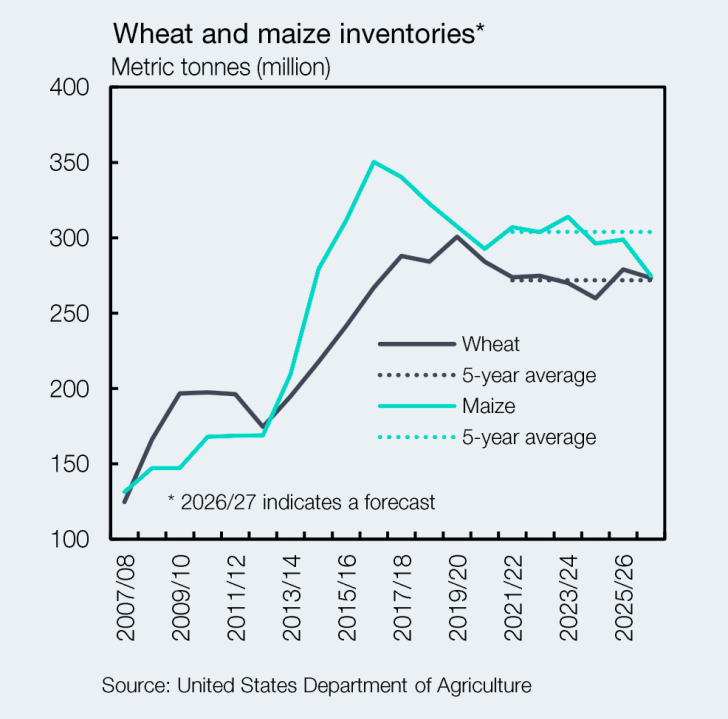
Furthermore, globally, climate risk is still not being acknowledged as a legitimate problem, and from an enterprise standpoint, bottom-line has not been materially chewed away enough to warrant collective climate action.

Key Takeaway: Protecting property rights, and classifying climate risk as an addressable structural reform area, can attract more investment and boost economic growth.

DFI's and Commercial Banks role in Climate Finance

If climate change is a global scientific risk, we must then acknowledge that our passivity makes us complicit in its gradual degeneration and commit to reversing it or slowing it down.

The loss of lives and livelihoods (Nepal), drought and the uncertainty of food availability (El Nino) warrants global and collective action and resources.



Just Share's recent 'How Cool is your Bank'? report indicates that even though sustainable finance has been making good headway, fossil fuel financing is still leading in the race toward emission reductions.

The report indicates that there is a persistent mismatch between sustainable finance commitments and the actual, direct allocation of commercial bank financing allocated to reducing carbon emissions.

The better indicator is the composition of the loan book, and its transition away from fossil fuel reliance toward renewable and sustainable energy projects.

Bank disclosures, board accountability, and the establishing of and commitment to absolute interim targets are required to support national and international climate objectives. Further, for the reasons where capital security and returns cannot be verified, DFI's are called to step in and advance socio-economic development through carbon-reducing financing backing.

The classification of oil being used as a transmission fuel indefinitely, should be addressed with policy solutions based on clearly defined boundaries, a stated timeframe, and clear measurability.

Key Takeaway: Climate finance is a necessary infrastructure investment candidate to accelerate sustainable transition by reducing future energy vulnerabilities.

Department of Electricity and Energy (DEE), ESKOM and NERSA

Increase in electricity tariffs have outpaced inflation over the period 2008-2026. Large real increases in electricity costs raise inflation production costs, weakening economic growth.

Firms are responding by optimizing for efficiency and maintenance rather than growth.

- **Energy Market Liberalization Cross-border Trade** NERSA approved NTCSA's Market Operator license in November 2025, meaning a a competitive multi-market electricity model for South

Africa. The SAWEM and SAPP connection reshapes renewable pricing models, stimulating a more competitive energy market, widening the regional demand and supply pool. There is also a strong commercial case for cross-border trade among the SSA region, however a more secured transmission path is required along the central corridor to effectively match bids. Thus supports in the narrowing of supply constraints, and improving output capacity.

- **Tariff increase and inflation target alignment - The R91.1 Billion growth dividend*** Consumers are now increasingly more price-sensitive to electricity price increases. The SARB proposes for aligning electricity tariff increases with its inflation target (3%). Scenario analyses indicates that headline CPI and the policy rate remain lower when electricity price hikes are aligned with target. The suggested model indicates that growth gains cumulatively amount to 1.3 percentage points by 2029, quantified as a R91.1 Billion growth dividend.
  *** Real GDP less sum of scenario real GDP**

- **Acceleration of Energy Diversification Reforms** The updated Integrated Resource Plan (IRP) highlights the structural baseline to diversify the energy mix out to 2039-2050. Of the targeted 105 000MW of new generation capacity, the new proposed allocation targets, onshore wind, utility scale solar PV, and rooftop solar are touched on. Active commitment to diversifying the energy mix with less exposure to oil volatility and price shocks must be matched with establishing interim absolute emission and funding targets to 2039. Energy diversification is essential as an inflation-risk mitigating strategy , reducing exposure to oil-price and currency shocks.

- **Strategic Oil Reserves and Refined Products as a Shock Buffer** The Strategic Petroleum Stocks Policy (SPSP) drafted in July 2026 proposed accumulation targets for the state and the private sector to be stored at 2 state-owned terminals, which fuel authorities argue does not have sufficient physical storage infrastructure for crude oil or refined products. While stockholding commences, South Africa is still dependent on external markets for crude oil and refined products.

Key Takeaway: Electricity market liberalization is essential for competitive pricing. However, electricity tariff design can also potentially support the cushioning against household expenditure strain, costs of production and expectations. Stockpiling reserves create fiscal, logistical and infrastructure costs that need to be addressed.

Foreign Currency Reserves - An Effective Supply- Shock Absorber

Gross foreign currency reserves as of September 2026 stands at $75.43 billion, comprising foreign exchange reserves, gold reserves, SDRs and a forward position. A a well-diversified, highly liquid portfolio are able to absorb external shocks, smoothes currency volatility, and indicates a lower default risk to international investors, narrowing the country's risk premium, keeping debt servicing costs at bay.

The import buffer is 5.1 months, optimally defensive with a current account deficit and increased risk of persistent supply shocks. Current financial position could partly serve to reassure public concerns of more supply shock threats.

Reserves are not idle, and are allocated either into liquidity or investment tranches, based on yield and flexibility of access, earning ROI to preserve capital and prioritize liquidity.

Over and above foreign currency reserves and the Policy rate, a strategic mix of structural, monetary and macroprudential tools are being utilized to ensure liquidity, and prevent broader domestic economic destabilization.

Key Takeaway: Rand strength has relatively offset imported inflationary pressures. Ample reserves could potentially maintain a resilient, supportive environment for when the next shock hits.

Employment - The Protection and Position of the People

AI Upskilling and Education In just the global financial sector alone, AI-disruption that accelerates systems, processing and digital infrastructure development, has ushered in a new order, of an undeniable magnitude supporting global growth, with industry leaders warning that failure to transition could threaten business as usual as a going concern.

Further, universities and technical colleges are called to heavily incorporate AI knowledge into academic programs to better position graduates for the workforce and entrepreneurship. This is how the people are protected.

While AI lowers barriers to entry, the demand for various trade and artisan skills have increased as well.

AI disruption proves to be a growing productivity and labour-market issue with disproportionate benefits, costs, consequences, winners and losers. This could further skew realized employment and already imbalanced income effects and should be prioritized.

The South African Startup Ecosystem and its VC Timing Horizons The 2026 Global Entrepreneurship Monitor (GEM) scores South Africa's general entrepreneurial framework as a weak 3.9/10. Majority of Young startups are struggling to graduate from simple ideas to institutional-grade, venture-scale operations. This is partly due to bureaucratic hurdles, and fragmented local incubation structures, however ample capital is still available and ready to be deployed into investment ready projects.

Founders then need to solve for compliance and unit economics from day one, with an iron-clad and calculated profitability path. The appetite is leaning more toward a continental and global footprint, above user metrics as base case. With increased national exposures to goods and system vulnerabilities due to AI, Climate, and logistical and trade dependencies, effective solutions emerging from cybersecurity, agriTech, climateTech, health and cleanTech spaces are much needed.

A 2026 SAVCA report indicated that SA VC exits are now producing globally competitive returns. The need is clearly now for the embedding of the distinct African investment time horizon into the thesis. Foreign investors will win big, not only in South Africa, but Africa with longer-term commitments of capital to our talent pool.

Key Takeaway: Ideal private capital conditions must be designed to stimulate the supply of productive capacity. Further, founders must test ideas against market pains, wants and shifting dynamics, sharpening being more investable. Subsequently, venture capitalists must configure investment theses, associated allocations, and exits around unique, contextualy timing horizons.

The Investment-to-GDP Shortfall

Demand is marked by value-conscious and price sensitive consumers. Manufacturers appear to have chosen not to raise production even with surplus capacity, as cheaper imports narrows margins further.

Investment-to-GDP stands at 14% for 2026 having steadily declined since 2008. A recent SARB note suggests that the low-investment regime has now become the new structural baseline across all investment categories including governments, public corporations and the private sector.

Allan Gray's Sandy McGregor and Matthew Peterson's September 2026 article acknowledges that there is a lack of supply of viable and profitable projects, rather than a capital shortage. The possibility of government's succumbing to reversing the 'grave mistake' of increasing offshore diversification limits (changes to regulation 28) risks direct state failure spillover effects into the private savings pool.

Forcing local investors toward domestic investment in relatively concentrated markets could direct capital to underperforming capital assets, hampering any semblance of long-term returns and stability. Reneging will not rescue SA from the structural new normal investment baseline.

State capacity to provide critical public goods and services at the local and municipal levels is gradually weakening, contributing to widening sovereign risk premiums increasing costs of doing business.

The SARB October Monetary Policy Review assesses the befuddling investment puzzle, accompanied by the comparative performance of South Africa's Investment-to-GDP ratio to emerging market averages.

This decision could leave South Africa in the low-investment regime indefinitely, leaving the South African poorer and more financially oppressed than economically liberated.

Key Takeaway: The draft proposal for the Synthetic Financial Hub is an attempt to ease exchange control regulatory burdens, and could enhance domestic financial activity. However, true consideration would examine the transmission effects related to increased professional employment, and its contributions to even income distribtion.

AI-Related Financial Repricing: Potential Spillovers to Emerging Markets

AI-related activity and valuation is being realized in global economic growth activity and resilience. However, AI Capex of 'hyperscalers' is increasingly being debt-funded to erect more data centres,

acquire more computing power, only adding more leverage to the system.

Anthropic filed an IPO-intent, now postponed to after the US mid-term elections. Equity valuation consensus sits between $1.5 - $2 trillion, though this does not account for debt obligations and other off-balance sheet activities. Enterprise value matters. With Anthropic's reliance on its massive and complex debt structures, revealed in their leaked S-1 Prospectus filing, the more prominent questions should be how long to growth, and the requirements to sustain that growth and lock in to the 'age of abundance' for all? Further, how would profitability be impacted when you become the direct competitor of your compute chip supplier?

A different angle would be the AI 'speculative mania' narrative, which is maybe best portrayed in the Situational Awareness hedge fund saga, cautioning against highly leveraged, highly concentrated AI bets with no hedging strategies.

High conviction, high exposure, high leverage driving AI bets proves a massive concentration and market repricing risk.

US market AI-related repricing scenarios may become more than that. Take the situational awareness fund and Coreweave bonds more recently.

Key Takeaway: The associated magnitude and spillover effect risk to the domestic market of following geographies must be anticipated to preserve financial stability, and control for global risk sentiment from a monetary policy and global risk sentiment standpoint.

Methodology Note

Data was sourced from SARB and StatSA (2015–2026). Insights derived via descriptive, time series, correlation, sensitivity and regression modeling, and residual path tracking to isolate historical co-movements, and visually explore the relationship's non-linearity.

Conclusion

The SARB policy rate may remain elevated even as headline inflation is contained, reflecting the need to assess the persistence of inflationary pressures and the risks surrounding the outlook. The effects of monetary-policy decisions extend beyond just price stability, influencing borrowing costs, investment conditions, household expenditure and domestic economic activity.

Political, economic and regulatory institutions hold complementary policy tools required to address the structural vulnerabilities that may amplify these effects. Through coordinated and accountable action, they can support domestic businesses, strengthen productive investment, improve economic resilience and create conditions for broader participation in sustainable economic growth. These interventions complement the SARB's price-stability mandate.

As a small, open economy, South Africa remains exposed to changes in global liquidity, investor risk appetite and external financing conditions. The rand is particularly sensitive to these developments, with domestic fiscal credibility, growth prospects and perceived country risk also carrying its movements. A potential repricing of US technology and AI-related assets may have limited direct

effects on the domestic real economy, but could transmit indirectly through global financial conditions, capital flows, asset valuations and exchange-rate pressures.

Navigating increasingly uncertain global terrain requires more than reactive policy responses. It calls for a rigorous understanding of emerging risks, a clear assessment of economic opportunities, absolute and measurable policy targets, and transparent institutional accountability. Targets must be realistic, interventions evidence-based and progress evaluated against outcomes rather than worded commitments.

Ultimately, the conditions for economic development cannot be established by monetary policy alone. They require the collective participation of institutions, policymakers and the private sector, working within clear mandates towards a common objective: an economy in which price stability, productive investment, household welfare and sustainable growth reinforce one another.

References

Credit Rating Upgrades https://www.moneyweb.co.za/financial-advisor-views/south-africas-credit-rating-upgrades-what-do-they-mean-for-investors/

Polycrisis Definition. Adam Tooze https://adamtooze.substack.com/p/chartbook-130-defining-polycrisis?r=16oz3v&utm_campaign=post-expanded-share&utm_medium=web

Governor Lesetja Kganyago MISTRA Keynote Address 28 September 2026
https://www.resbank.co.za/en/home/publications/publication-detail-pages/speeches/speeches-by-governors/2026/kganyago-policy-challenges

Country/Sovereign Risk Premiums https://aswathdamodaran.substack.com/p/country-risk-determinants-measures?r=16oz3v&utm_campaign=post-expanded-share&utm_medium=post%20viewer

How cool is your bank? 2026 report https://justshare.org.za/wp-content/uploads/2026/10/How-cool-is-your-bank-2026.pdf

Increase in Electricity Tariffs relative to Inflation https://dailyinvestor.com/energy/158070/prices-have-risen-158-since-2008-eskoms-electricity-prices-skyrocketed-by-1044-over-the-same-period/

Demonopolization of ESKOM, Liberation of the regional electricity trade market
https://www.solarplaza.com/resource/13586/white-paper-renewable-energy-trading-in-south-africa-2026/

SARB Quarterly Bulletin September 2026
https://www.resbank.co.za/en/home/publications/publication-detail-pages/quarterly-bulletins/quarterly-bulletin-publications/2026/september

Investable opportunity supply problem rather than capital problem
https://savca.co.za/south-africas-venture-capital-market-faces-a-new-challenge-finding-investable-deals/industry-news/

Increase in Debt instruments in the capital mix, structural and architectural vulnerabilities that will take years to address
https://www.africanscalecraft.com/investor-landscape

Founder funding constraints for South African founders, and distinct funding models for African startups
https://techcabal.com/2026/09/02/south-africa-startup-funding-recovering-founders-struggle/

How VC's should temper investment expectations, anchoring it to longer time horizons associated with greater exit multiples.
https://www.linkedin.com/feed/update/urn:li:activity:7487806060712435712?updateEntityUrn=urn%3Ali%3Afs_updateV2%3A%28urn%3Ali%3Aactivity%3A7487806060712435712%2CFEED_DETAIL%2CEMPTY%2CDEFAULT%2Cfalse%29

The changes to Regulation 28 Offshore limits and the South African Investor Debate.
https://www.allangray.co.za/latest-insights/markets-and-economy/changing-regulation-28-a-solution-looking-for-a-problem/?utm_source=social&utm_medium=linkedin&utm_campaign=latest_insights&utm_term=mass_aff&utm_content=SM_changing_regulation_28_Post_1

Aswath Damodaran The Situational Awareness situation
https://substack.com/home/post/p-210695303

Coreweave: The Question of the AI Peak, bubble and associated economic and financial markets implications

https://www.reuters.com/legal/transactional/coreweave-shares-bonds-slide-further-ai-debt-fears-mount-2026-10-15/

Energy Sovereignty: A country’s global economic moat
https://www.discoverthought.org/post/energy-as-the-ultimate-global-currency-a-critical-analysis

Fiscal policy has a material impact on South African inflation dynamics
https://doi.org/10.71587/r0ee6h43

Appendix

Table 1: Policy Matrix Summary			
Risk / policy area	**Why it matters to the inflation and resilience environment**	**Potential action**	**Relevant institution(s)**
Global debt stress and contagion	Global repricing can affect risk appetite, capital flows, currency conditions and domestic financing costs	Monitor external financial conditions and assess stress scenarios	SARB, National Treasury, financial regulators
Fiscal dominance risk	Fiscal financing pressures could constrain policy space or increase pressure on monetary policy	Maintain fiscal credibility, transparent debt management and institutional mandate clarity	National Treasury, SARB
Sovereign risk premium	Institutional uncertainty, fiscal vulnerability and weak growth may affect investor risk assessments	Improve policy predictability, implementation capacity and investment conditions	National Treasury, government departments, regulators
Climate finance	Climate shocks can disrupt food, energy and infrastructure supply; financing gaps may delay resilience investment	Align DFI and commercial finance with credible transition and adaptation projects	DFIs, commercial banks, Treasury, relevant departments
Electricity tariffs	Electricity costs influence household budgets, firm costs and inflation	Evaluate tariff decisions against system sustainability, affordability, investment and inflation implications	DEE, Eskom, NERSA

Energy diversification	A concentrated energy mix can increase exposure to supply and price shocks	Accelerate generation and transmission investment and monitor implementation risks	DEE, Eskom, NTCSA, regulators
Electricity market reform	Competition and regional trade may improve flexibility and efficiency if infrastructure and rules permit	Complete market design, transmission and cross-border arrangements	NERSA, NTCSA, DEE, regional market institutions
Refined-product import dependence	External disruptions can affect fuel availability and prices	Assess stockholding, storage, supply diversification and infrastructure costs	Energy authorities, relevant industry institutions
Foreign reserves	External liquidity buffers can support resilience and confidence	Maintain reserve adequacy and transparent assessment of external vulnerabilities	SARB, National Treasury
Employment and AI skills	Inflation and monetary adjustment affect households unevenly; technological changes may alter labour demand	Support skills, employment resilience and access to productive opportunities	Education, labour and economic-development authorities
Startup ecosystem	Viable businesses can support employment, innovation and productive capacity	Address project-readiness, regulatory and financing-structure constraints	DFIs, private investors, government support institutions
Investment:GDP shortfall	Low investment may constrain productive capacity and increase	Improve project viability, infrastructure,	Treasury, public corporations, private

	vulnerability to shocks	regulatory certainty and execution	sector
AI-related financial repricing	A global correction could affect risk sentiment, asset prices, capital flows and currency conditions	Conduct scenario analysis and monitor domestic exposures	SARB, financial regulators, Treasury